

IN THE SUPREME COURT OF JUDICATURE
IN THE COURT OF APPEAL (CIVIL DIVISION)
ON APPEAL FROM THE HIGH COURT OF JUSTICE
CHANCERY DIVISION
(LORD JUSTICE HOFFMANN)

CHANI 92/1492/B

Royal Courts of Justice,
Strand, London, WC2A 2LL.
Wednesday 9th March 1994.

Before:
THE MASTER OF THE ROLLS
(Sir Thomas Bingham)

LORD JUSTICE BELDAM

and

LORD JUSTICE SAVILLE

THE LAW DEBENTURE TRUST CORPORATION PLC

Plaintiff (Respondent)

- v -

(1) THE URAL CASPIAN OIL CORPORATION
(2) THE NORTH CAUCASIAN OIL FIELDS LIMITED
(3) THE NEW SCHIBATEFF PETROLEUM COMPANY LIMITED
(4) THE GROZNY-SUNDJA OIL FIELDS LIMITED
(5) HILLDON LIMITED
(6) CASPIAN RESOURCES LIMITED

Defendant (Appellant)

(Transcript of the Handed Down Judgment by John Larking,
Chancery House, Chancery Lane, London WC2.
Telephone No. 071 404 7464.
Official Shorthand Writers to the Court.)

MISS E. GLOSTER Q.C. and MR. R. GILLIS (instructed by Messrs.
Linklaters & Paines, London EC4) appeared on behalf of the
Plaintiff (Respondent).

MR. R. POTTS Q.C. and MR. R. SNOWDEN (instructed by Messrs
Nabarro Nathanson, London W1X) appeared on behalf of the
Defendant (Appellant).

J U D G M E N T
(As approved)

THE MASTER OF THE ROLLS: At issue in this appeal is the scope, today, of the rule in Lumley v Gye (1853) 2 E & B 216. Does it (as one side says) cover interference by a defendant with a plaintiff's secondary right to relief against a third party? Or is it limited (as the other side says) to cases where the defendant has interfered with a plaintiff's primary right to performance by the third party? The issue has never been raised before and the authorities accordingly give no direct answer to this conundrum.

The facts giving rise to the issue have been summarised in the appellant's skeleton argument with admirable lucidity and comprehensiveness and I adopt that summary almost verbatim.

The first four defendants in this action ("the Russian Companies") are companies incorporated in England which formerly owned oil producing assets in the former Soviet Union. Those assets were expropriated following the Bolshevik revolution of 1917. In about 1928 each of the Russian Companies registered with H.M. Government claims for compensation in respect of the expropriated assets. The claims were for amounts in excess of £27 million. Down to 1986 The Shell Petroleum Company Limited ("Shell") had a controlling shareholding in each of the Russian Companies. However, each of the Russian Companies also had several hundred "outside" shareholders. None of the Russian Companies had any substantial assets other than the compensation claims.

Shell provided administrative services to each company which meant, in effect, that Shell was subsidising each company.

In 1984 Leisure Investments plc ("Leisure") approached Shell with a view to acquiring Shell's interest in the Russian Companies. The acquisition was to be made by a subsidiary of Leisure, namely Leisure Investments (Overseas) Limited ("Overseas"). The negotiations were protracted. Shell were prepared to proceed but on the footing that :-

- (1) Overseas was to offer to buy the shares of outside shareholders on the same terms as it was to buy Shell's shareholdings; and
- (2) arrangements were to be made with the Russian Companies such that any compensation payments received by the Russian Companies would pass to Shell and the outside shareholders in proportion to their interests before the sale of the shares to Overseas.

Following such negotiations, in April 1986 Overseas made a bid for the share capital of each of the Russian Companies and on 2 May 1986 the interested parties executed a series of documents. Each Russian Company entered into an agreement dated 2 May 1986 with (1) Leisure (2) Overseas and (3) Law Debenture. These agreements are hereinafter described as "the Compensation Agreements". In addition, also on 2 May 1986, Law Debenture executed a trust deed which took the form of a deed poll ("the Trust Deed").

The material terms of each of the Compensation Agreements

were as follows :

(1) It was recited inter alia that the Russian Company making the Compensation Agreement ("the relevant company") had compensation claims, that an Offer had been made on behalf of Overseas for the whole of the issued share capital of the relevant company, and that Law Debenture was the present trustee of the trusts declared for the benefit of (inter alia) the shareholders of the relevant company by the Trust Deed.

(2) The relevant company agreed with Law Debenture that in consideration of the payment of £250 to it by Law Debenture the relevant company :

(a) would from time to time, and within 30 days of the receipt of the compensation, pay to Law Debenture sums measured by reference to the amount of any compensation received by the relevant company in respect of the compensation claims (i) within the period of 10 years after the date of the Compensation Agreement or (ii) as a result of a claim submitted pursuant to an Order in Council under the Foreign Compensation Act 1950 made within that period;

(b) would duly and promptly make and pursue any claim for compensation in respect of the compensation claims.

(3) Law Debenture agreed with the relevant company to retain a proportion of the sums received from the relevant company pending final determination of the amount of any tax payable by the relevant company in respect of its receipt of the compensation, and upon that final determination to repay to the relevant company a sum measured by reference to that amount.

(4) Each of Leisure and Overseas jointly and severally undertook to and covenanted with Law Debenture :-

(a) to procure that the respective Russian Companies complied with and performed any actions to be taken in respect of their covenants in the Compensation Agreements; and

(b) not to part with control of or to sell or otherwise to dispose of any shares in the Russian Companies acquired pursuant to the offers except on terms that any buyer, transferee or new controller entered into like covenants, *mutatis mutandis*, with Law Debenture.

The Trust Deed provided that Law Debenture would hold any payment received from any of the Russian Companies pursuant to the Compensation Agreement with that company on trust for the persons who at the date of the Trust Deed were shareholders in that company, the compensation payment being apportioned between those persons according to their respective interests

in the assets of that company on a winding up of that company commencing on that date.

Following execution of the Compensation Agreements and the Trust Deed and pursuant to the offers, Shell sold its shares to Overseas. Many outside shareholders also accepted the offers but a considerable number did not. On 14 December 1989 Leisure sold its 100% holding of the shares of Overseas to Hilldon. On 15 December 1989 and 4 June 1990 the Russian Companies received compensation in respect of the expropriated assets. The total received was over £13 million. On 5 March 1990 Overseas transferred to Hilldon the shares which had been acquired from Shell and from the outside shareholders who had accepted the take-over offers. Overseas did not require Hilldon to enter into any covenants with Law Debenture and Hilldon did not do so.

On 20 June 1990 Caspian made a general take-over offer for all shares in the issued share capital of each of the Russian Companies. Hilldon and certain other shareholders in the Russian Companies accepted Caspian's take-over offers. In about October 1990 Hilldon gave effect to its acceptance by transferring the shares held by it to Caspian.

Each of the Russian Companies has refused to make any payment to Law Debenture in compliance with the terms of the Compensation Agreements. The Russian Companies assert that the arrangements were entirely invalid and illegal on a number of grounds which need not be considered at this stage.

Law Debenture instituted this present action by writ

issued on 15 November 1990. By writ issued on 22 March 1990 Shell sued their solicitors for negligence in respect of the advice given by the solicitors in relation to the Compensation Agreements, the Trust Deed and otherwise in relation to the arrangements concluded in respect of the take-overs by Overseas. Shell's action against the solicitors has now been settled. A hearing is fixed for June to decide whether the Compensation Agreements can be enforced.

Law Debenture's original claims against Hilldon and Caspian, which were not parties to the 2 May 1986 arrangements, were set out in paragraphs 8 to 13 of the original Statement of Claim. The effect of these claims can be summarised as follows :-

(1)Leisure and Overseas jointly and severally undertook to and covenanted with Law Debenture :-

(a)to procure that the respective Russian Companies complied with and performed any actions to be taken in respect of their covenants in the Compensation Agreements; and

(b)not to part with control of or to sell or otherwise to dispose of any shares in the Russian Companies acquired pursuant to the Overseas offer except on terms that any buyer, transferee or new controller entered into like covenants, mutatis mutandis, with Law Debenture.

(2)Overseas breached the above covenants by transferring

the shares in the Russian Companies to Hilldon.

(3)By causing or procuring or accepting the transfers, Hilldon knowingly caused or procured or induced Overseas to breach the relevant covenants.

(4)Alternatively, by causing or procuring or accepting the transfers, Hilldon itself came under an "implied collateral obligation" (which was said to be contractual) to Law Debenture to observe and perform the like covenants, mutatis mutandis, as Overseas.

(5)In transferring the shares to Caspian, Hilldon acted in breach of the supposed "implied collateral obligation".

(6)By causing or procuring or accepting the transfers, Caspian knowingly caused or procured or induced Hilldon to breach the "implied collateral obligation".

(7)Alternatively, by causing or procuring or accepting the transfers, Caspian itself came under an "implied collateral obligation" (which was again said to be contractual) to Law Debenture to observe and perform the like covenants, as originally imposed upon Overseas and as allegedly "transmitted" to Hilldon.

(8)Further or alternatively Caspian failed to comply with its own alleged "implied collateral obligation" to procure the Russian Companies to make payment to

Law Debenture.

In 1991 Caspian applied for the claims against it to be struck out in their entirety. In 1992 Hilldon applied for all claims against it other than in relation to the claim in tort under subparagraph (3) above to be struck out. On 9 March 1992 Hoffmann J held that the allegations by Law Debenture against Hilldon (other than under subparagraph (3)) and against Caspian disclosed no reasonable cause of action and struck them out : [1993] 1 WLR 138 at 141D-148G. Hoffmann J held (at 142G-H) that there were no grounds for implying any contract between Law Debenture and either Hilldon or Caspian.

Law Debenture then applied for leave to amend the Statement of Claim so as to add additional causes of action on two bases ([1993] 1 WLR at 143A-C, 146E-G and 147H) :-

(1)that because Hilldon and thereafter Caspian took the shares with knowledge of the breach of the Compensation Agreements by Overseas, they took the shares subject to an obligation to perform the covenants therein, either under the principle of De Mattos v Gibson (1858) 4 De G. & J. 276, 282, or under the principle that he who takes the benefit of a transaction must also take the burden;

(2)that as an extension to the relief available to Law Debenture as a consequence of Hilldon having committed the tort of inducing a breach of contract by Overseas, Law Debenture was entitled to an order requiring Caspian to re-transfer the shares to

Hilldon.

In the course of the same hearing Hoffmann J held on 9 March 1992 that these allegations disclosed no reasonable cause of action and refused leave to amend. Put briefly, he held :-

- (1)that the principle in De Mattos applied only to the grant of a negative injunction restraining a purchaser from acting inconsistently with covenants, but could not extend to Caspian which was not proposing to do anything inconsistent with the covenants given by Overseas to Law Debenture (at 146A-B);
- (2)that section 50 of the Supreme Court Act 1981 added nothing as it presupposed as a condition to the granting of damages "in substitution" for an injunction that an injunction could have been granted. As there were no grounds for an injunction there are no grounds for damages either (at 146D);
- (3)that the principle of benefit and burden could not apply where the right and burden arose under different instruments; where the covenants entered into by Overseas with Law Debenture were unconnected with the transfers of shares to Hilldon and Caspian; and where there was no inference from the transfer of shares that either Hilldon or Caspian was intended to assume the burden of the

covenants given by Overseas to Law Debenture at 146G-147H);

(4)that in order to give the Court any jurisdiction to make any injunctive order against Caspian, Law Debenture had to have a cause of action against it.

In addition to the fact that there was no cause of action in contract, or under the equitable principle in De Mattos as noted above, there was also no cause of action against Caspian for the tort of interfering with Law Debenture's contractual relations with Overseas. These contractual obligations had been irretrievably broken before Caspian appeared on the scene. Accordingly there was no jurisdiction to grant an injunction against Caspian on any of these grounds (at 148C-G).

However, following a suggestion by Hoffmann J at the end of the judgment on 9 March 1992 (which had not previously been canvassed in argument between the parties - see [1993] 1 WLR at 148H-149A and 150D), on 29 September 1992 Law Debenture sought leave to amend the Statement of Claim for a second time to add a new cause of action in tort. The proposed amendment is included in paragraph 11 of the Amended Statement of Claim. It alleges :-

"In the premises by causing or procuring or accepting such transfers [from Hilldon to Caspian], Caspian ... knowingly, intentionally and/or wrongfully:-

- (a) rendered ineffective or sought to render ineffective the potential claim by the Plaintiff against Hilldon for the re-transfer of the shares in the Russian Companies to Leisure Overseas so that Leisure Overseas would be able, or could be ordered, to comply with and perform its obligations [under the Compensation Agreements]; and/or
- (b) interfered with or sought to interfere with the remedies available to the Plaintiff against Leisure Overseas and/or Hilldon for the breaches of contract [by Leisure Overseas] and/or for the tortious conduct of Hilldon [in inducing a breach of contract by Overseas]."

The relief sought against Caspian is identified in paragraph 2 of the Prayer :-

- "(a) Damages;
- (b) Further or alternatively, a Mandatory Injunction that Caspian do forthwith transfer or re-transfer to Leisure Overseas, alternatively, that Caspian do forthwith transfer or re-transfer to Hilldon and that Hilldon do thereupon forthwith transfer or re-transfer to Leisure Overseas all such shares in the Russian Companies now held by Caspian as were originally acquired by Leisure Overseas pursuant to the Offers...or subsequently acquired... in right of such shares;
- (c) Further or alternatively, damages pursuant to Section

50 of the Supreme Court Act 1981 in addition to or in substitution for such injunctive relief."

In his judgment of 9 March 1992, Hoffmann J approached the proposed amendment as one which sought to extend the scope of the principle in Lumley v Gye (1853) 2 E & B 216 beyond interference with contractual relations to interference with remedies arising out of a broken contract. He readily accepted that there was no authority supporting any such liability (at 148H). In his judgment delivered on 2 November 1992 Hoffmann LJ commented that although the principle in Lumley v Gye is normally termed "procuring a breach of contract" it is in fact a wider principle. He cited the following formulation of Erle J in Lumley v Gye (at 232) :-

"It is clear that the procurement of the violation of a right is a cause of action in all instances where the violation is an actionable wrong".

He then proceeded to set out what he concluded were the three essential elements to the tort. They were:-

- (1) a right in the plaintiff;
- (2) violated by an actionable wrong;
- (3) procured by the defendant.

He stated that the rights capable of being violated and giving rise to a tort have been held to include rights conferred by statute and fiduciary obligations imposed in equity, such as a company director's duty of fidelity to the company. He referred (at 151C-E) to what he characterised as a "debatable extension" to the principle that the actionable wrong must

involve an actual breach of contract (or of statutory duty or of an equitable obligation), namely that the actionable wrong could be extended to non-performance by the contracting party which does not involve a breach of contract, and held (as is accepted) that this "debatable extension" was not relevant in the instant case. He then referred in passing to the extension of the concept of procurement to include knowingly entering into a transaction inconsistent with the contracting party's obligation (at 151E-F), which he accepted as well-established. Having made these three points, the judge concluded that the general principle in Lumley v Gye (and also that formulated by Ralph Gibson LJ in F v Wirral Metropolitan Borough Council [1991] Fam 69 at 107) was wide enough to cover a case in which the right of the plaintiff which had been violated was the secondary right of the plaintiff to a remedy arising out of the antecedent tortious inducement of a breach by a third party of its primary obligation under a contract (at 151F-H). In using that language he borrowed and adapted Lord Diplock's well known analysis of contractual obligations in Photo Production Limited v Securicor Transport Limited [1980] AC 827, 848. This analysis itself developed earlier observations of Lord Diplock in Moschi v Lep Air Services Limited [1973] AC 331 at 350-1. The judge accordingly ruled that the facts pleaded in the draft amended statement of claim gave rise to a cause of action in tort against Caspian and he gave leave to amend.

Against this second decision Caspian now appeal. There

is no appeal against the earlier decision and no appeal by Hilldon (who were not represented before us). The sole question is whether Law Debenture's amended statement of claim discloses a cause of action in tort against Caspian.

Law Debenture's argument in support of the judge's decision proceeded by a series of steps, some of which were challenged and some of which were not. I hope the steps are fairly summarised as follows :

(1) Law Debenture had a primary contractual right against Overseas requiring that company not to part with the shares save to a transferee bound by the same covenants as itself. This was common ground. Plainly Law Debenture was entitled to due performance of the May 1986 agreements by the other parties to them.

(2) Hilldon was under a primary duty in tort to Law

Debenture not to interfere with Law Debenture's primary contractual right against Overseas. This was so on a simple application of Lumley v Gye, and Hilldon never challenged that allegation in Law Debenture's original pleading. In accepting a transfer of the shares Hilldon infringed Law Debenture's right and so became liable to Law Debenture in tort. This also was common ground.

(3) Having tortiously interfered with Law Debenture's primary contractual right to performance by Overseas, Hilldon became subject to a secondary liability to pay damages to Law Debenture. This proposition was not challenged.

(4) As a tortfeasor, Hilldon also became subject to a

personal liability to undo the consequences of its tort.

The transfer to it could have been restrained before it was made. After it was made, Hilldon could and on appropriate facts would be ordered to re-transfer the shares to Overseas. This step of the argument depended on the decision of Bridge J in Eso Petroleum Co Limited v Kingswood Motors (Addlestone) Limited [1974] QB 142. Caspian did not challenge the correctness of that decision or throw doubt on the court's jurisdiction to order re-transfer by Hilldon to Overseas. But it did contend that Law Debenture had no legal right to have the shares re-transferred and that Hilldon was subject to no legal duty to re-transfer them unless and until the court made the necessary order.

- (5) Law Debenture's right to injunctive relief against Hilldon, although a secondary right, was no less a right recognised and entitled to protection in law than a primary right. Caspian did not accept this.
- (6) Law Debenture's right was matched by duties on Hilldon, a positive duty to re-transfer the shares to Overseas and a negative duty not to transfer the shares elsewhere and so put it out of its power to perform its positive duty. Caspian challenged this.
- (7) Hilldon's transfer of the shares to Caspian was a breach of these duties and accordingly amounted to the commission of a tort additional to and independent of the tort committed at step (2) above. Thus by making the

transfer Hilldon committed an actionable wrong. This was the proposition which Caspian most strongly sought to refute.

- (8) By accepting the transfer from Hilldon in this situation, with the requisite knowledge and intention, Caspian also violated Law Debenture's right and was itself a tortfeasor guilty of an actionable wrong. It was therefore properly joined as a defendant on this ground. Caspian rejected this conclusion.

I embark on consideration of the legal issues in this case with a strong inclination towards the conclusion at which the judge arrived. It is alleged that Overseas, Hilldon and Caspian were at all material times under common control and Caspian does not deny that it had full knowledge of the terms of the contract between Law Debenture and Overseas and of the nature and effect of the transaction between Overseas and Hilldon. Denial of a remedy against Caspian might, as the judge observed (at 151G), allow the introduction of an additional company under the same control as the original contract-breaker to provide an easy escape from the salutary remedy devised by Bridge J in Kingswood Motors. The suspicion must exist that these transfers were designed, all along, to deprive the majority shareholders in the Russian Companies of the benefit for which alone they were willing to part with their shares. No attempt has however been made in this action to pierce the corporate veil which protects Hilldon and Caspian, and we must resist the temptation to speculate on

other claims which might perhaps have been made by Law Debenture. We must rule on the legal issues raised. It seems to me that these are essentially twofold :

(1) Does the rule in Lumley v Gye apply to the right which Law Debenture asserts (as in steps (4) and (5) above) against Hilldon?

(2) Did the transfer between Hilldon and Caspian amount to an actionable wrong by either of them?

(1) **The right**

Many of the cases dealing with the application of Lumley v Gye have referred to contractual rights, because the cases were concerned with alleged inducement or procurement of contractual breaches. But Erle J's original formulation was not so limited (at 232) :

"It is clear that the procurement of the violation of a right is a cause of action in all instances where the violation is an actionable wrong, as in violations of a right to property, whether real or personal, or to personal security : he who procures the wrong is a joint wrong-doer, and may be sued, either alone or jointly with the agent, in the appropriate action for the wrong complained of".

Early summaries of the rule accepted this. Thus in Quinn v

Leathem [1901] AC 495 at 510 Lord Macnaghten said :

"Speaking for myself, I have no hesitation in saying that I think the decision was right, not on the ground of malicious intention - that was not, I think, the gist of the action - but on the ground that a violation of legal right committed knowingly is a cause of action, and that it is a violation of legal right to interfere with contractual relations recognised by law if there be no sufficient justification for the interference".

The present state of the law is in my judgment well summarised by Professor John Fleming in The Law of Torts (8th edn, 1992)

at pages 689-90, where he writes :

"Since then the action has been actively promoted by the courts. Leaving behind its original link with personal service, it now applies to every kind of contractual relation, including purely commercial. Viewed as an illustration of the generalisation that unjustified "violation of a legal right committed knowingly is a cause of action", it is now wide enough to include even civil rights existing independently of contract: thus it would be an actionable wrong to induce a common carrier to refuse, in breach of his common law duty, goods tendered to him for carriage. More doubtful is the role of the action for vindicating non-economic relations; it has been denied for the right of parental access in custody disputes because it would likely be exploited for spiteful litigation and is better left to matrimonial proceedings."

I would not be willing to hold that interference with a secondary right to a remedy (as opposed to a primary right to performance) could never attract the application of the Lumley v Gye principle. For example, if, following default by the principal debtor, a third party induced a guarantor to dishonour his secondary obligation to pay the creditor, I would need much persuasion that the third party was not liable in tort. But it does not seem to me to follow that a third party is necessarily liable in tort for any interference with any right properly regarded as secondary, particularly where that right is contingent. So I think it is perhaps preferable to avoid elaborate analysis of secondary rights and obligations and instead to ask, perhaps at the price of some circularity, whether violation of the right in question is an actionable wrong.

(2) The wrong

It is not in dispute that Hildon could, on timely application, have been ordered to re-transfer the shares to

Overseas and restrained from transferring them on to Caspian or anyone else. It is said that Hilldon could only be restrained from acting unlawfully and that it would not be liable to such restraint if such onward transfer were lawful.

Therefore onward transfer is to be regarded as unlawful, as violating Law Debenture's right that it should not take place.

As a party to this onward transfer Caspian are party to the unlawfulness and so liable.

To my mind this chain of reasoning harbours a fallacy. It is of course true that the courts restrain the commission of unlawful acts such as threatened breaches of contract or torts or breaches of trust and grant mandatory orders for the doing of things which it would be unlawful not to do. But all injunctive orders are not of this kind. The court will restrain a defendant and potential judgment debtor from making himself judgment-proof by dissipating his assets and may order him to give disclosure of assets in support of the injunction.

But the defendant violates no legal right of the plaintiff if he makes himself judgment-proof by dissipating his assets before he is enjoined from doing so and he does not act unlawfully in failing to give disclosure before he is ordered to do so. These are measures the court adopts to protect the efficacy of its orders. The Kingswood Motors injunction was, I think, of a similar kind.

Caspian can be liable to Law Debenture if and only if Hilldon's transfer of the shares to it was tortious. But at the time this transfer was made Hilldon was the full legal and

beneficial owner of the shares. It had no contractual relationship of any kind with Law Debenture. It was liable to Law Debenture for its tortious conduct in procuring Overseas' breach of its contract with Law Debenture, but that was all. It was open to Law Debenture to seek an interlocutory injunction restraining Hilldon from making onward transfer and a final injunction ordering re-transfer, but application had not been made and injunctions had not been granted. Until some injunction was granted, Hilldon was in my judgment entitled to do what it would with its own. I cannot regard the onward transfer as an actionable wrong, and it would in my view defeat the ingenuity of any pleader to frame a plausible statement of claim based on that transfer alone.

Mr Robin Potts QC for Caspian criticised the judgment of Hoffmann LJ on the ground that although the judge listed an actionable wrong as one of the ingredients of the cause of action he failed to identify any relevant actionable wrong on the part of Hilldon and Caspian. That seems to me a fair criticism. In concentrating on the right, it seems to me that the judge did take his eye off the wrong.

I would accordingly allow Caspian's appeal, refuse Law Debenture leave to amend and dismiss this action against Caspian.

LORD JUSTICE BELDAM: In the circumstances set out fully in the judgment of the Master of the Rolls, did the appellants, Caspian, commit the common law tort of actionable interference with the contractual rights of the plaintiffs, Law Debenture?

The elements of the tort were stated by Jenkins L.J. in D.C. Thomson & Co. Ltd. v. Deakin [1952] Ch. 646. At page 696 he said:

"Nevertheless, I think that in principle an actionable interference with contractual relations may be committed by a third party who, with knowledge of a contract between two other persons and with the intention of causing its breach, or of preventing its performance, persuades, induces or procures the servants of one of those parties, on whose services he relies for the performance of his contract, to break their contracts of employment with him, either by leaving him without notice or by refusing to do what is necessary for the performance of his contract, provided that the breach of contract between the two other persons intended to be brought about by the third party does in fact ensue as a necessary consequence of the third party's wrongful interference with the contracts of employment."

As Lord Diplock pointed out in Merkur Island Corporation v. Laughton [1983] 2 AC 570 at page 607, the only interference with contractual rights relied on by the plaintiff in D.C. Thomson & Co. Ltd. v. Deakin (supra) was procuring a breach by a third party of a contract between the third party and the plaintiff. But Lord Diplock said that Jenkins L.J., though using the expression "breach", was not intending to confine the tort of actionable interference with contractual rights to the procuring of such non-performance of primary obligations under a contract as would necessarily give rise to secondary obligations to make monetary compensation by way of damages. He said:

"All prevention of due performance of a primary obligation under a contract was intended to be included even though no secondary obligation to make monetary compensation thereupon came into existence because the second obligation was excluded by some force majeure clause."

If there were any doubt about this matter, it was resolved in

1969 by the judgment of the Court of Appeal in Torquay Hotel Co. Ltd. v. Cousins [1969] 2 Ch. 106. That was a case in which the contract the performance of which was interfered with was one for the delivery of fuel. It contained a force majeure clause excusing the seller from liability for non-delivery of delayed, hindered or prevented by (inter alia) labour disputes. Lord Denning M.R. stated the principle thus, at page 138:

"there must be *interference* in the execution of a contract. The interference is not confined to the procurement of a *breach* of contract. It extends to a case where a third person *prevents* or *hinders* one party from performing his contract, even though it be not a breach." (The emphasis is that of Lord Denning)."

Thus it is an actionable tort knowingly to interfere with another's right to performance of a contractual obligation by preventing or hindering the other party from performing his obligations under the contract and as Lord Diplock in Merkur Island Shipping Corp. v. Laughton (supra) said of the common law tort of interfering with the trade or business of another person by doing unlawful acts:

"To fall within this genus of torts the unlawful act need not involve procuring another person to break a subsisting contract or to interfere with the performance of a subsisting contract." (p. 609)

The type of case was described by Viscount Radcliffe in Stratford v. Lindley [1965] AC 269 at 328 as:

"One in which the defendants have inflicted injury on the plaintiffs in the conduct of their business and have resorted to unlawful means to bring this about. It cannot be denied that to induce breaches of contract is to employ unlawful means."

The question in the present case is whether the action of Caspian in taking a transfer of shares from Hilldon which

could impede the plaintiff's rights against Hilldon can be categorized as unlawful means.

In the present case the plaintiff has asserted a cause of action against Hilldon alleging that by accepting the transfers of the shares in the Russian companies with knowledge of the terms of the agreements, it caused or procured Leisure Overseas to breach its covenants with the plaintiff. Hilldon does not dispute that this allegation discloses a cause of action.

Although at the material time Leisure Overseas, Hilldon and Caspian are alleged to have been under common control, it is not suggested that there was in this case a conspiracy to injure the plaintiffs nor that Caspian was party to Hilldon's conduct constituting the tort of interfering with the plaintiff's contractual rights.

The plaintiff originally attempted to base claims against Caspian on Caspian's action in taking a transfer of the shares in the Russian companies from Hilldon. The plaintiff argued that Caspian then became liable to perform the covenants either by implication or by the principle formulated by Knight-Bruce L.J. in De Mattos v. Gibson [1858] 4 De G & J 276, or alternatively that in law or equity Caspian could not take the benefit of the shares without assuming the burden of the covenants. For the reasons given by the learned judge he held that the plaintiffs had failed to make out a cause of action against Caspian on any of these grounds. Finally the plaintiff claimed as an extension of the relief available for

the tort of inducing a breach of contract a mandatory order first against Caspian to re-transfer the shares to Hilldon and then against Hilldon to re-transfer them to Leisure Overseas.

The learned judge rejected these claims. Against Hilldon such an order was no longer possible because it had transferred its shares to Caspian and against Caspian the plaintiff could demonstrate no independent cause of action on which to found jurisdiction in the court to make an injunctive order. The judge decided the plaintiff had not demonstrated a cause of action in tort against Caspian. Caspian had not played any part in inducing Leisure Overseas to break its covenant to the plaintiff and accordingly no arguable case had been raised that Caspian had interfered with the plaintiff's contractual rights. But the learned judge added:

"The effect of the transfer to Caspian was not to interfere with contractual relations but to deprive the plaintiff of the remedy which it would have had for the inducement of the earlier breach of contract by Hilldon. It rendered ineffective the potential claim to a retransfer of the shares."

Thus the question was raised whether interference with contractual rights extends to interference with or hindrance of remedies available for a breach of contract, and the scene was set for the final amendment which is the subject of this appeal.

The judge held that the general principle that "where there is a right the law gives a remedy" and that knowingly entering into a transaction inconsistent with a contracting party's obligations as the defendant had done in the case of

British Motor Trade Association v. Salvadori [1949] Ch. 556 established a general principle wide enough to cover a case in which the plaintiff could show that it had been prevented or impeded from exercising a secondary right to a remedy available for the tortious inducement of a breach by a third party of its primary obligation under a contract. Holding that on grounds of policy there were no reasons to deny the suggested extension of the cause of action, he allowed the amendment.

Mr Potts Q.C. argues that the proposed amendment discloses no actionable wrong because the test for an actionable wrong arising from breach of a primary right is whether the plaintiff can maintain an action in respect of the relevant Act. There was no direct interference with the performance of an obligation which the plaintiff was entitled to expect from Leisure because no right of the plaintiff was violated by the sale of the shares in the Russian Companies by Hilldon to Caspian. Nor was there any indirect interference with such obligations because there was no independently unlawful act on the part of Caspian in taking a transfer of the shares from Hilldon.

The plaintiff supports the learned judge's decision that the plaintiff had a right to performance of the secondary obligation by Hilldon which it could enforce by seeking a mandatory restoratory injunction. The circumstances were similar to those in which Lord Bridge (then Bridge J.) granted an injunction in Esso Petroleum Co. Ltd. v. Kingswood Motors

(Addlestone) Ltd. and Others [1974] 1 QB 142. In that case Lord Bridge granted a mandatory order against the second and third defendants ordering them to reconvey property which they had procured to be transferred to them in direct breach of the first defendant's contractual obligations to the plaintiff.

Lord Bridge, however, emphasised the discretionary nature of the remedy of mandatory injunction. See page 157.

The Master of the Rolls has listed the steps in the argument of Miss Gloster Q.C. for the plaintiff. In essence her argument was that by accepting a transfer of the shares from Hilldon, Caspian had interfered with the plaintiff's right to obtain a mandatory injunction against Hilldon or alternatively had prevented or hindered Hilldon from performing a correlative obligation to retransfer the shares to Leisure.

Insofar as the plaintiff's argument depends upon the analysis of the contractual obligations as primary or secondary by Lord Diplock in Photo Productions Ltd. v. Securicor and which arise by implication from the terms of the contract at common law, it is not irrelevant that Lord Diplock began his exposition at page 848 by saying:

"Leaving aside those comparatively rare cases in which the court is able to enforce a primary obligation by decreeing specific performance of it, breaches of primary obligations give rise to substituted or secondary obligations on the part of the party in default and, in some cases, may entitle the other party to be relieved from further performance of his own primary obligations."

A party whose contract can give rise to a claim for specific performance in equity may nevertheless prefer to

claim damages for breach. Although a court will not decree specific performance of some contracts, for example contracts of service, it may grant injunctions to restrain conduct which is inconsistent with the performance of primary contractual obligations. I can see the force of the argument that, if a plaintiff can obtain an injunction to restrain action inconsistent with the performance of a contractual obligation, he ought equally to be able to obtain an injunction to restrain a third party from procuring action inconsistent with his primary right to performance of the obligations under the contract. That is because the third party is threatening to commit a tort which is actionable. Equally, if as in the case of Acrow (Automation) Ltd. v. Rex Chainbelt [1971] 3 AER 1175, it is to be regarded as unlawful to do an act which amounts to contempt of court because it interferes with the rights of a party who has obtained an injunction, it is difficult to see why it should not similarly be regarded as unlawful to do acts which might prevent or hinder the obtaining of an injunction.

But I am not persuaded that an act, otherwise lawful but which to the knowledge of the person doing it might prevent a third party from seeking equitable relief against breach of a primary obligation under a contract, is in itself capable of giving rise to a cause of action in tort.

The claimed extension of the cause of action would appear to be confined to equitable remedies arising from breach of primary obligations. Although a secondary

obligation to pay damages will on Lord Diplock's analysis arise, the right to claim equitable relief by way of injunction is conditional upon the secondary obligation being inadequate to vindicate the plaintiff's primary right.

Injunctions compelling the performance of positive obligations have much in common with specific performance, excluded from Lord Diplock's analysis. So have mandatory restorative injunctions which compel the undoing of a wrong. They are remedies which a plaintiff may seek from the court, either to compel performance of a primary obligation or to restrain the defendant from actions inconsistent with the primary obligations under the contract. In my view they are not themselves secondary rights arising by implication from the terms of the agreement. Whilst I consider that, if an injunction had been obtained by the plaintiffs against Hilldon, action taken by Caspian which prevented or impeded Hilldon from complying with its terms would under the principle in the case of Acrow v. Rex Chainbelt (supra) have

amounted to an unlawful act actionable by the plaintiff, until such an injunction had been obtained the transfer of the shares from Hilldon to Caspian and their acceptance by Caspian was not actionable by the plaintiff and therefore not tortious. I accordingly agree with the Master of the Rolls that the appeal should be allowed.

LORD JUSTICE SAVILLE: For the purposes of the appeal it is assumed that the Hilldon, by taking an unencumbered transfer of shares from Overseas, committed the tort of inducing Overseas to break a legal contractual obligation owed by the latter to the Plaintiffs not to make any such transfer. Caspian were not party to this tort, but afterwards took a transfer of the shares from Hilldon. It is also assumed for the purpose of this appeal that Caspian procured Hilldon to make this further transfer in order to put it out of the power of the Plaintiffs to seek an order requiring Hilldon to transfer the shares back to Overseas, by way of a remedy for the tort committed by Hilldon.

The Plaintiffs have pleaded that this act of inducement by Caspian was a itself a tort. They accept that in order to sustain this pleading they must establish that what Caspian procured Hilldon to do was something unlawful ie a violation of a legal right of the Plaintiffs.

Miss Gloster QC for the Plaintiffs submitted that when Hilldon committed the first tort, that company came under a legal obligation to the Plaintiffs to make recompense for that tort. The Plaintiffs therefore had a correlative legal right to such recompense, which included a right to have the shares transferred back to Overseas. Caspian procured Hilldon to put it out of their power to perform this obligation, by the

further transfer of the shares. Miss Gloster submitted that the transfer must have been an unlawful act on the part of Hilldon, since the Plaintiffs, had they known that it was about to take place, could have obtained a permanent injunction to restrain it, on the grounds that in consequence of the tort they had the right to require the shares to be returned whence they came: see Esso Petroleum Co. Ltd v Kingswood Motors(Addlestone) Ltd [1974] QB 142. A permanent injunction will only issue to prohibit acts which the law categorizes as unlawful. Thus it must follow that the transfer was an unlawful act. Since it was knowingly procured by Caspian, all the relevant ingredients of a tort by Caspian are present.

Mr Potts QC for Caspian submitted that the transfer by Hilldon was not an actionable wrong, and that only unlawful acts that are actionable wrongs can form the basis of the tort under consideration. The transfer of the shares from Hilldon to Caspian was not in itself an actionable wrong. The Plaintiffs could not sue Hilldon and obtain a retransfer of the shares without relying on a different actionable wrong, namely the procurement of the transfer from Overseas. The latter actionable wrong was one for which it is not alleged that Caspian were responsible.

In my judgment this is not conclusive. It seems to me that the basis of the tort is that it is wrong to procure another to do something unlawful by way of a violation of the rights of the plaintiff. The fact that what is done is unlawful by reason of some prior unlawfulness seems to me to be neither here nor there. Two wrongs do not make a right. For my own part I would respectfully accept and adopt the proposition of Lord MacNaughton in Quinn v Leatham [1901] AC 495 at 510, that unjustified "violation of a legal right committed knowingly is a cause of action". The question therefore is whether Caspian did knowingly violate a legal right of the Plaintiffs by procuring Hilldon to transfer the shares.

The suggested legal right in the present case must be (if anything) what has been described as a secondary right, to distinguish it from the primary legal right to performance of the contract or other primary legal obligation. If the primary obligation is not performed then as a matter of law there arises a right to recompense. In the context of contract, for example, the contracting parties make promises to each other. It is their primary obligation to perform those promises. To the extent that they fail to do so, the primary obligation is (subject to contractual provisions to the contrary) replaced by a secondary obligation to make recompense for the breach. Both primary and secondary obligations give rise to correlative rights and I accept that both can properly be described as legal rights and obligations.

In the present case the suggested legal right is the secondary right to obtain an order against Hilldon for the return of the shares. Mr Potts submitted that until such an order was actually obtained, it was not unlawful for Hilldon to dispose of the shares, so that in truth at the material time there was no violation of the Plaintiffs' legal rights.

Mr Potts supported this submission by examining the case of another secondary right, namely that of damages. If the Plaintiffs were right in contending that there was a violation of a legal right in the present case, then the same would follow where, before a Mareva Injunction was obtained, a third party procured the defendant to dissipate his assets. This, submitted Mr Potts, cannot be right, for the defendant only acts unlawfully, in violation of the plaintiffs' secondary right to damages, if he seeks to dissipate his assets after the grant of a Mareva. Given this is the position, a third party procuring the defendant to dissipate his assets before the grant of a Mareva is not procuring the doing of anything unlawful at all.

Not without some doubts I am convinced by this argument. It might be suggested that there is some distinction between a Mareva injunction and the type of injunctive relief under

discussion in the present case. It could be said that Mareva relief is not by way of recognizing and enforcing a secondary right to damages, but a means of protecting the value of that right, by way of temporarily creating a new right and obligation in respect of the defendant's assets. In other words, a Mareva injunction is not (unlike the injunction under consideration) the remedy for an existing wrong, but a means of temporarily preserving that remedy. Since the right does not exist until a Mareva injunction is granted there is indeed no question of the defendant being under any pre-existing legal obligation with regard to his assets so that a third party would not be violating any right of the plaintiff by procuring their disposal before a Mareva was granted.

This distinction has some attractions, but in my view it contains a logical flaw. The Plaintiffs have to assert that they had the right, from the time of the original tort, to an injunction requiring Hilldon to transfer back the shares. An injunction is a discretionary remedy. As to this the Plaintiffs submit that on the pleaded facts the Court would have exercised its discretion in their favour. Thus they assert the existence of a legal right and obligation predating the grant of such an Injunction. However, by exactly the same process of reasoning, a plaintiff who has all the material required to obtain a Mareva injunction could say that he too therefore has a right (and the defendant a corresponding obligation) with regard to the defendants' assets even before a Mareva was granted; yet it seems to me clear that this cannot be the law.

In the end therefore I am driven to the conclusion that the fallacy in the Plaintiffs' argument lies in the assertion that to dispose of the shares before an order was made prohibiting this and requiring their return, amounts to a violation of the Plaintiffs' legal rights. It seems to me that the right asserted by the Plaintiffs only arises when the Court makes the order in question.

For these reasons I too would allow this appeal, refuse

leave to amend and dismiss the action against Caspian.

Order: Appeal allowed with costs. Leave to appeal to the House of Lords refused.